

Home Bias and Risk Sharing

Sørensen et al. 2007, Empirical Replication and Extension
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Introduction

Model

Data & Empirical Strategy

Results

Conclusion

Introduction

- Research question and why it matters
- Key policy relevance
- Our contribution: **three-fold**

► Data details

► Robustness

Model

Consider a representative agent who maximises

$$\max_{\{c_t, k_{t+1}\}} \sum_{t=0}^{\infty} \beta^t u(c_t) \quad \text{s.t.} \quad c_t + k_{t+1} = f(k_t) + (1 - \delta) k_t \quad (1)$$

where $\beta \in (0, 1)$ is the discount factor and δ the depreciation rate.

Euler equation

$$u'(c_t) = \beta [f'(k_{t+1}) + 1 - \delta] u'(c_{t+1})$$

Data & Empirical Strategy

Table 1: Descriptive statistics, 2000–2020

Variable	Mean	Std. Dev.	<i>N</i>
GDP growth (%)	2.34	1.87	420
Inflation (%)	3.12	2.45	420
Trade / GDP	0.56	0.21	418

We estimate:

$$Y_{it} = \alpha_i + \gamma_t + \beta X_{it} + \delta' \mathbf{Z}_{it} + \varepsilon_{it} \quad (2)$$

with α_i entity and γ_t time fixed effects.

Results

Placeholder for your results figure or table.

► Full regression table

Conclusion

Takeaways

1. Finding one — with policy implication
2. Finding two — mechanism
3. Finding three — external validity